



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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**Circular to Licensed Corporations
which are licensed for Type 1 regulated activity**

Watch out! Brokerage firms were defrauded again!

The Commission has issued a number of circulars to the brokerage firms and a press release over the past years regarding suspected fraudulent activities targeted at brokerage firms. In the previous circulars and press release, the Commission has outlined the methods commonly used by fraudsters in defrauding brokerage firms and urged brokerage firms to adopt proper control measures to guard against possible losses.

The Commission has recently received certain reports from brokerage firms, informing us that some fraudsters again attempted to deceive brokerage firms. Some brokerage firms did not suffer any losses because they had established the necessary control measures, but the others were less lucky.

This circular is to alert brokerage firms again regarding the suspected fraudulent activities and the possible ways to strengthen the internal control environment to avoid the potential losses arising from such activities.

Common methods in deceiving brokerage firms

Fraudsters' methods in deceiving brokerage firms in the recently reported cases are no different from those mentioned in our previous circulars and press release:

- Fraudsters usually turned up in the guise of walk-in clients going to the offices of brokerage firms for opening stock trading accounts. They would make use of false/forged identity cards and proofs of address for covering up the true identity and contact;
- Fraudsters would deposit cheques into the brokerage firms' bank accounts directly and then produce deposit slips to the brokerage firms evidencing the deposit;
- Fraudsters would quickly place purchase instructions to the brokerage firms for large quantity of stocks which typically would be speculative or thinly traded in the market before the cheques could be cleared;
- Cheques would then get bounced;



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- Brokerage firms that had executed these purchase transactions without waiting for cleared funds could end up holding stocks which could not be disposed of in the market given thin trading, or could suffer from material trading loss due to a large drop in price; and
- Brokerage firms would not be able to locate these fraudsters given the false contact details provided.

When the above describes fraudulent activities recently reported by brokerage firms, brokerage firms should also be mindful of possible forged cashiers' orders as fraudsters had also produced these to brokerage firms in the past.

Useful hints for brokerage firms to avoid losses

The Commission reiterates the importance of the "Know Your Clients" rules and of proper control procedures in handling client's orders, particularly in the course of dealing with new walk-in clients. Brokerage firms are urged to adopt appropriate control procedures to protect their interests. The following are the basic procedures expected to be implemented:

- Carefully verify the identity document of client as well as his contact details. Do ask for sight of original address proof for your checking when in doubt;
- Make appropriate enquiries when a client places a large order for purchasing speculative stocks or stocks that are thinly traded; and
- Receive cleared funds before agreeing to execute large purchase orders for new walk-in clients.

Finally, apart from reporting suspected fraudulent activities to the Commission, brokerage firms are also reminded to report such cases to the Police for its further investigation.

Should you have any queries regarding the above, please contact Ms Madonna Yip at 2842-7618.

Intermediaries Supervision Department
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Securities and Futures Commission